BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,

PRINCIPAL BENCH

NEW DELHI

Company Petition No. (CAA)-47/PB/2018

Connected with

Company Application No.CA (CAA)50/PB/2017

Judgment dated: 04.01.2019

Coram:

CHIEF JUSTICE (Rtd.) SHRI M.M. KUMAR,

HON'BLE PRESIDENT

&

MR. S.K. MOHAPATRA,

MEMBER (TECHNICAL)

In the matter of:

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF AMALGAMATION

AMONGST

NIRVAN CLOTHING COMPANY PRIVATE LIMITED

..... Applicant Company No. 1 / Transferor Company

MIKASA ENTERPRISES PRIVATE LIMITED

... Applicant Company No. 2 /Transferor Company

RICHA GLOBAL PRIVATE LIMITED

..... Applicant Company No. 3 / Transferee Company

For the Applicants: Mr. SPS Chawla, Mr. Shashant Tripathi, Ms Malini Sud, Advocates

ORDER

M.M. KUMAR, PRESIDENT

1. This Joint application has been filed by the Petitioner Companies under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation. The copy of the Scheme has been placed on record.

2. A perusal of the petition discloses that initially the First Motion application seeking directions with respect to convening/ dispensing with the meetings of Shareholders and Creditors was filed before this Bench. Based on such

joint application moved under Sections 230-232 of the Companies Act, 2013, this Tribunal vide its order dated 01.06.2017 read with order dated 20.04.2018 issued directions to convene the meetings of secured and unsecured creditors of the Transferee Company. Vide order dated 06.06.2018, the Petitioners were directed to carry out publication in the newspapers English Daily 'Indian Express' (Delhi edition) as well as in Hindi Daily 'Jansatta' (Delhi edition). In addition thereto notices were directed to be served on the Regional Director (Northern Region), Registrar of Companies, NCT of Delhi and Haryana, Official Liquidator, the Income Tax Department and to the other relevant sectoral regulators.

3. It is seen from the records that the Petitioners have filed an affidavit dated 23.07.2018 affirming compliance of the order passed by the Tribunal dated 06.06.2018. A perusal of the affidavit discloses that the petitioners have effected the newspaper publication as directed in English Daily 'Business Standard' (Delhi Edition) as well as in Hindi Daily 'Business Standard' (Delhi Edition) on 26.06.2018 in relation to the date of hearing of the petition. Further, the affidavit also discloses that copies of petition were duly served on the Registrar of Companies, Regional Director, Northern Region and Income Tax Department in compliance of the order and in proof of the same acknowledgement by the respective offices have also been placed on record.

4. The Regional Director has filed its representation dated 09.08.2018& 10.10.2018 and has observed that, firstly, the Scheme is violative of Section 232(6) of the Companies Act, 2013. Second observation is that the company should undertake to pay the fees on its authorized capital subsequent to the amalgamation. Thirdly, the RD has stated that the Scheme is silent about fractional allotment of shares arising out of the share exchange ratio. Fourthly, as per the Auditor's Report for Financial Year 2015-16, there is a disputed due to Income Tax pending before ITAT, Delhi.

5. In response of the aforesaid observations of the Regional Director, the petitioner companies filed their a rejoinder affidavit dated 08.08.2018 and submitted that firstly, that paragraph 1.3(e) of Part-1 of the Scheme is not contrary to the provision of Section 232(6) of the Companies Act, 2013 in as much as indisputably the proposed Scheme would be effective from the appointed date and shall include the 'effective date' defined in para 1.3(e) of the proposed scheme, which is evident from Para 1.5(a), 1.5(c) and 1.5(f) of the proposed scheme. Secondly, it has been undertaken by the Petitioner Companies that the Transferee Company will pay the applicable fee, if any, on its authorized capital subsequent to the amalgamation. Thirdly, the company has undertaken to round off fractional shares while doing the allotment by the Transferee Company.

6. The Official Liquidator has filed a report on 01.08.2018 wherein it has been stated that he has not received any complaint against the proposed Scheme from any person/ party interested in the scheme in any manner and that the affairs of the Applicant Companies do not appear to have been conducted in a manner prejudicial to the interest of its members, creditors or public interest.

7. In the joint petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 are pending against the Petitioner Companies.

8. Certificates of respective Statutory auditors of both the petitioner companies have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

9. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, and the affidavits filed by the Regional Director, Northern Region, Ministry of Corporate Affairs and the report of official

liquidator, there appears to be no impediment in sanctioning the present Scheme. Consequently, sanction is hereby granted to the Scheme under Section 230 & 232 of the Companies Act, 2013. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

10. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

While approving the Scheme as above, we further clarify that this order should not be construed as an order in any granting exemption from payment of stamp duty, taxes including income tax, GST etc or any other charges, if any, and payment in accordance with law or in respect of any permission/compliance with any other requirement which may be specifically required under any law.

12. **THIS TRIBUNAL DO FURTHER ORDER(S):**

(A) WITH RESPECT TO TRANSFEROR COMPANIES AND TRANSFEREE COMPANY

1. That the Transferor Companies stands dissolved without being wound-up; and

2. That all the property, rights and powers of all the Transferor Companies, be transferred without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Act, be transferred to and vest in the Transferee Company for all the estate and interests of the Transferor Companies therein but subject nevertheless to all charges now affecting the same; and

3. That all the liabilities and duties of the Transferor Companies be transferred without further act or deed, to Transferee Company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the Transferee Company; and

4. That all proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company; and

5. That all the employees of the Transferor Companies in service, if any, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date shall become the

employees of the Transferee Company on such date without any break or interruption in service and upon terms and conditions not less favourable than those subsisting in concerned Transferor Companies on the said date.

6. That Petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Company for registration and on such certified copy being so delivered the Transferor Companies shall be dissolved and the Registrar of Company shall place all documents relating to the Transferor Companies registered with him on the file kept by him in relation to the Transferee Company and the files relating to all the petitioner companies shall be consolidated accordingly.

Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

The petition stands disposed of in the above terms.

Sd/-

(M.M. KUMAR) 04.01.20
PRESIDENT

Sd/-

(S.K. MOHAPATRA)
MEMBER(T)

(Vidya)